Lone Star Comfort Air (sample)

Residential HVAC service, maintenance agreements and system replacement, owner runs dispatch and sales

Price	Value	vs asking
Seller's asking value	$1,547,200	0.0%
Repriced value	$624,220	-59.7%
DCF value	$486,172	-68.6%
Largest financeable price	$593,621	-61.6%
Supported value	**$593,621**	**-61.6%**
Supported value comes from the	largest financeable price	

The repriced value, unless the cash flow can't finance that much.

Earnings		
Seller's SDE	$386,800	
Add-backs claimed	$291,800	
Add-backs rejected	$92,700	4 items
Normalised SDE	$294,100	
Owner replacement at market pay	-$138,045	
Normalised EBITDA	**$156,055**	

Financing		
DSCR at the asking price	0.48x	
DSCR at the repriced value	1.19x	
Lender's minimum	1.25x	
Verdict	**neither price can be financed at these terms**	

